

MegaSam

Samsung is set to unveil a 6.3-inch mega tablet. The tablet brings to us multi-tasking ability with an even better viewing experience. <http://digit.in/YPUHnt>



Anonymous journalism

Anonymous raised \$54,798 to launch its dedicated news website aimed at online independent reporters/ citizen journalists. <http://digit.in/XR7cjS>

Feature

rather go underground. I don't want people to come bribing me into mining bitcoins for them. I don't want to be the butt of accusations and I think I would do without the blind faith some people have put in it. Selling their houses in Canada for bitcoins for crying out loud! Can you imagine? Imagine being the creator of this thing that now has everyone arguing to bits, including us!

"But you can't see how beautiful it is," he continued as if in a trance. "It has been written to remove the need of a bank. You don't need a bank to own your money. Your bitcoin is worth itself. It doesn't need to be stamped, allowed and regulated by a bank. You trust a bank more than you trust yourself. What for? Do you think they have your best interests in mind? Do you think they care? And that's the brilliance of Nakamoto. He has tried using technology to set right what we've done so terribly wrong for years. Money is the root of all our problems. It has become the reason why we live. It exists because we made it, but now, we exist because of it.

"Look, money is important," he went on. "We can't live on a barter system of course. One beer please for my watch. That can't work right. We've evolved to realize that money is the most efficient way of sharing the assets of a society. But do we realize how flawed it is? That a few people authorize its production, the way we own it and the way we earn it? A digital currency like the bitcoin can change so much. It isn't just real money in digital form. It is much more than that. It's like gold, you dig it out when you put in effort. Here your computer is putting in the effort, it's using brute-force, it's spending its processing power to dig out bitcoins that you can save in a wallet."

"It's also consuming electricity," she pointed out.

"Don't you eat and drink and burn fuel to do work? So the computer needs electricity to work. Our wallet has 133.4 bitcoins. Do you know how much money that is? 133.4 bitcoins by 266 dollars for each bitcoin, that's a little more than 35,000 dollars," he said.

"That was last week," she said.

"Yes I know," he scowled. "This week it's about 93 dollars. And that's still

money. It will fluctuate. And the design of the bitcoin will make sure the value eventually stabilizes. People are just getting the wind of this thing. They've just begun to realize what a foolproof code it is. There are a host of websites that accept payments in bitcoins now. The bitcoin is transferred using a one way SHA256 function. That stands for Secure Hash Algorithms. And that's not an encryption, it's a way of validating the data. Nakamoto figured out an essential for a currency to work."

"Look I don't need to be convinced of what a brilliant guy Nakamoto is," she said with a sigh.

"Listen to what he made possible," he continued impatiently. "Bitcoins can be transferred without another person, no one needs to know or track what you do with your money. That's what the bitcoin has to offer, anonymity. What you do with it, what you buy with it is no one's business. You don't need the financial wizards,



Understanding how Bitcoins are mined is quite interesting and complex

the know-it-alls. It is an anarchist currency. A currency that is stateless, that is free of hierarchies. A bitcoin doesn't need a regulatory authority. The bitcoin in its design makes sure it isn't being double spent. By codes. By math and algorithms. The SHA hash function is used on the

bitcoin every time there is a transfer. It ensures a one way route. The way it is designed it makes sure it isn't getting double spent. Every time you make a transaction using the bitcoin it gets signed by a hash and by a public key, which is like a digital signature. It cannot be decrypted and the transaction cannot be undone. The bitcoin is just a string of characters but it is powerful in having covered loopholes."

"I understand, but that's when you know someone who'd like to accept that bitcoin, my love," she said sarcastically.

"That's what the Mt. Gox exchange is for. It exchanges them to people who want the bitcoin. And that's how we can make money out of it," he said with a laugh.

"But you haven't really sold them either," she reminded him. "They're just stacking up in your wallet. And your wallet can be easily hacked into, your bitcoins could vanish at any point. The exchange could shut down, it could suffer from a 'denial of service' attack, right? And you're waiting for when the value is good enough for you to sell them. Isn't that speculation? Don't you think that when other bitcoin owners like you see a 100 per cent increase in value, they won't want to sell off their bitcoins too? Won't that lead to a mad rush to want them sold and then result in the prices falling again. Can't you see just how predictable all this is? It's a child's game that a lot of grown up geeks have decided to take very seriously."

"I see what you're doing here," he said. "I know exactly where you're going with this. You think the bitcoin euphoria is a bubble, that it'll burst soon enough. Do you know how bitcoin surfaced? It started with people trading illegal stuff off the deep web. They paid in bitcoins so that no government could track them. The Silk Route sound familiar? You can pay for illegal drugs, for guns and assassins on that website. And that got people curious about what people were using to trade. They were using bitcoins. Now they're thinking of internet gamblers playing with bitcoins. Because that would release them of all the legal implications of gambling. Since bitcoins don't come under any government they are free, free to be used."

"So they aren't really anything but another form of PayPal. A more sophis-